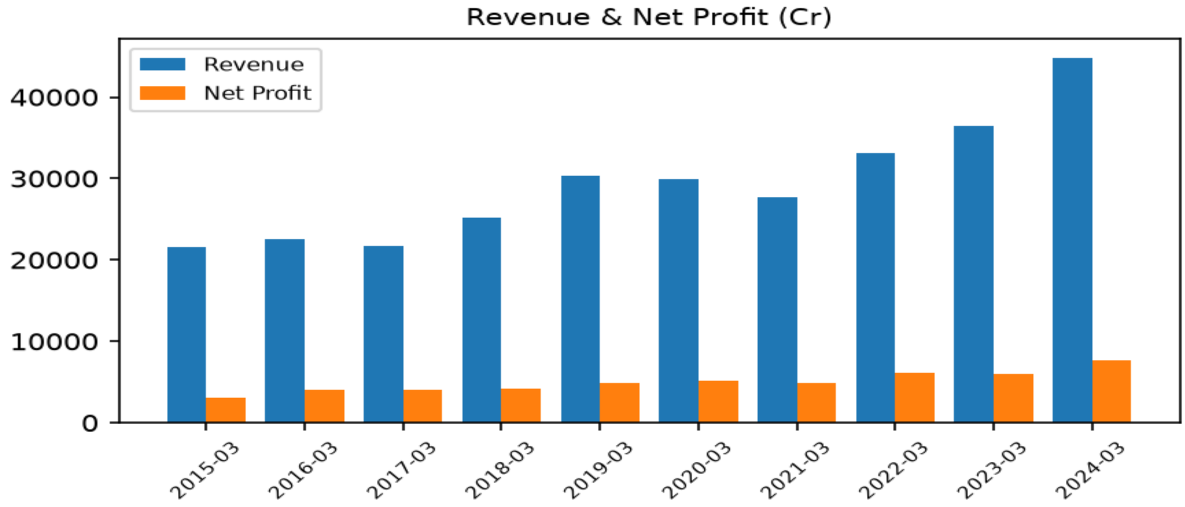
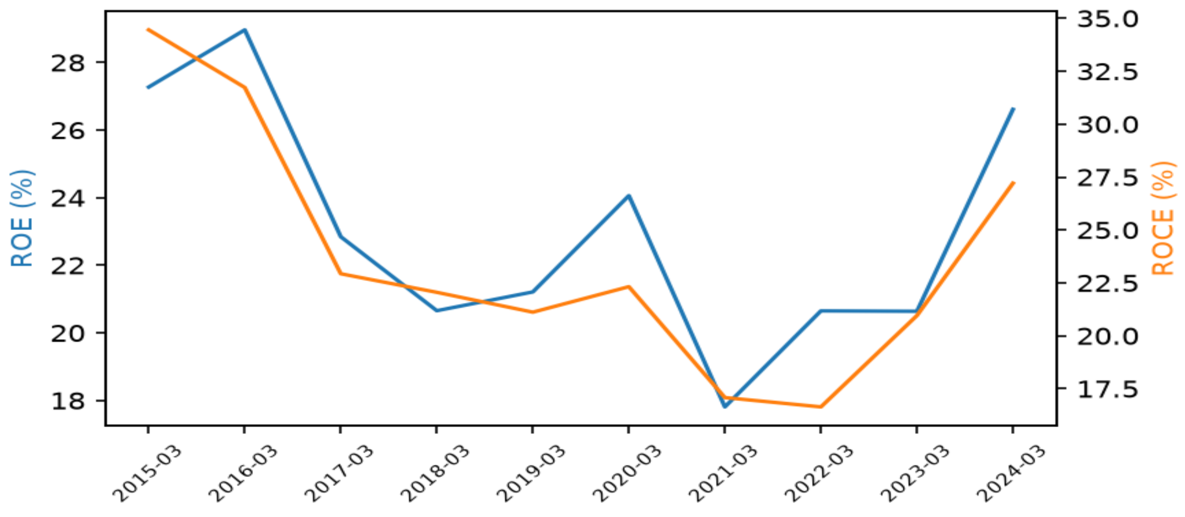
Bajaj Auto Ltd (BAJAJ-AUTO)

ROE 26.6%	**ROCE** 27.2%	**Net Profit Margin** 17.2%
D/E 0.1	**Revenue CAGR 5yr** 8.1%	**Free Cash Flow (Cr)** 6486.0

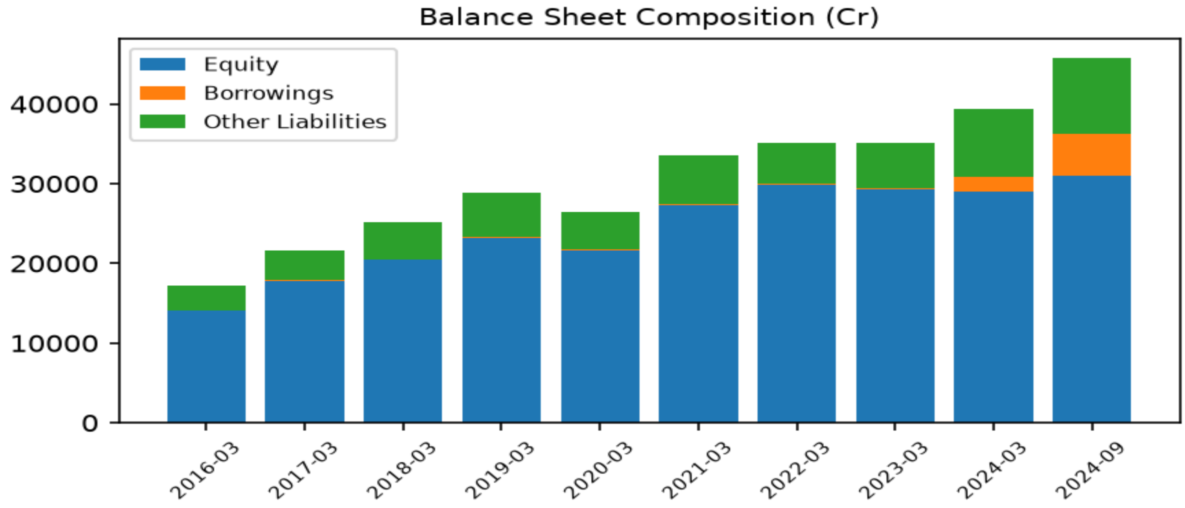
Revenue & Net Profit (10yr)



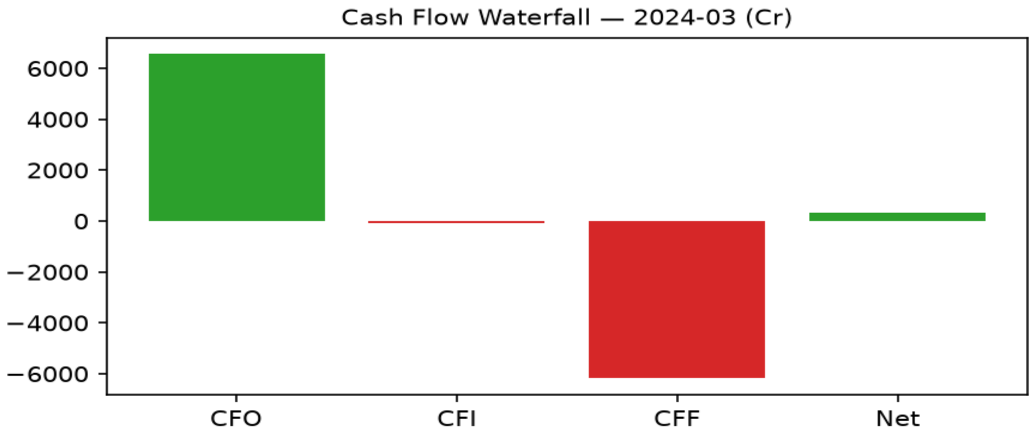
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
✓ Consistent dividend yield above 2% backed by positive free cash flow
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
✓ Return on equity of 26.6% reflects the company's baseline capital efficiency.

Cons

✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Reinvestor